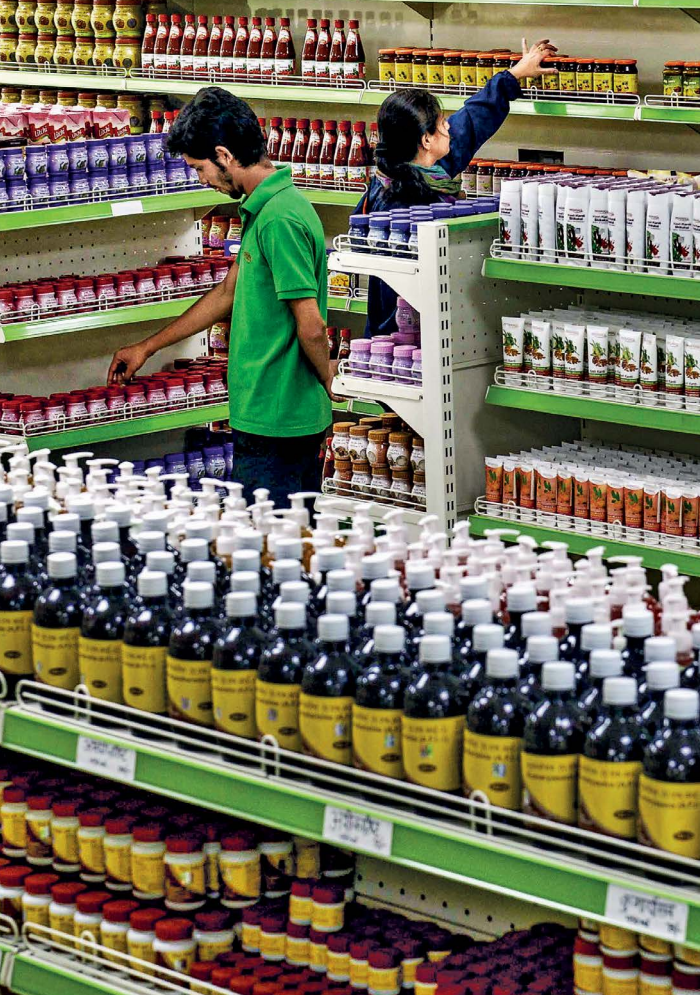




**Strength in Diversity** The group is looking to diversify its portfolio and enter some new sectors on its path to achieving group revenues of ₹1 lakh crore

## | COVER STORY PATANJALI |



**“The main issue is the lack of quality control. These (Patanjali’s) drugs must undergo clinical trials... many of these standards have not been achieved”**

**DR ANOOP MISRA**  
CHAIRMAN, FORTIS C-DOC  
CENTRE OF EXCELLENCE  
HOSPITAL



**“It (Dant Kanti) is a wonderful success. Patanjali has some terrific products cum brands. These products need to be pushed more by Patanjali”**

**HARISH BIJOOR**  
BRAND STRATEGY EXPERT

under cultivation across 12 states. “The oil palm plantation business represents a key avenue for the long-term growth of Patanjali Foods,” Asthana had told analysts.

Profitability remains another challenge. Patanjali Ayurved, the group’s largest entity till FY20, has never delivered profits beyond ₹750 crore, even when it clocked its highest-ever sales of ₹10,732 crore in FY22. From a low of 4.1% in FY18, its net profit margin has grown to 7.67% in FY23. Its FMCG competitors have net profit margins that range from 13-24%. For Patanjali Foods, now the group’s largest company, the figure was 2.39% in FY24.

### RAMDEV HAS A PLAN

According to Ramdev, the management has learnt some lessons in the past few years. For one, it has a mechanism to tackle the fluctuations in edible oil prices. “The results will be reflected in the first quarter numbers,” he says.

Then, transferring more FMCG items from Patanjali Ayurved to the listed Patanjali Foods will also help it offer better returns. It transferred the foods businesses to

test the waters and is now integrating the other FMCG businesses. “Our retail or institutional investors’ interests should not be affected in any form,” says Ramdev. After the second round of integration, Patanjali Foods may get a new, more ‘universal’ name.

A senior market analyst says that while cash profit may be low in edible oils, Patanjali is improving its return on capital employed (RoCE). After clocking 16.6% RoCE in FY22, it came down to 11.2% in FY24. But Antique Stock Broking estimates Patanjali Foods’ RoCE to grow to 16.8% in FY25 and 20.3% by FY26. Market leader Adani Wilmar, which has a share of nearly 20% in the ₹3 lakh crore domestic edible oils market, saw its RoCE decline to 7.2% last year. “Apart from the edible oil segment, Patanjali Foods has expanded its FMCG and food products’ manufacturing capacity,” says the analyst.

According to analysts, Patanjali’s focus on growing its distribution through general and modern trade has begun to bear fruit. Starting with Patanjali Chikitsalaya, its ayurvedic medicine store, Patanjali’s reach has grown to over a million retail outlets in FY24. Dhiraj